28 February 2001

Dear Sirs

Financial Action Task Force – Identification of non-cooperative jurisdictions

As part of the international measures to combat money laundering, the Financial Action Task Force on Money Laundering (FATF) [Note 1] is in the process of assessing and identifying countries and territories that have rules and practices that impede international cooperation in the fight against money laundering. Thus far, 15 countries and territories being named as "Non-Cooperative Countries / Territories" (NCCTs). They are:

- Bahamas
- Cayman Islands
- Cook Islands
- Dominica
- Israel
- Lebanon
- Liechtenstein
- Marshall Islands
- Nauru
- Niue
- Panama
- Philippines
- Russia
- St. Kitts and Nevis
- St. Vincent and the Grenadines

Note 1 ***FATF is an inter-governmental body whose purpose is the development and promotion of policies, both at national and international levels, to combat money laundering. FATF currently consists of 29 jurisdictions and two international organizations. The 29 FATF member countries are: Argentina; Australia; Austria; Belgium; Brazil; Canada; Denmark; Finland; France; Germany; Greece; Hong Kong, China; Iceland; Ireland; Italy: Japan; Luxembourg; Mexico; the Kingdom of the Netherlands; New Zealand; Norway; Portugal; Singapore; Spain; Sweden; Switzerland; Turkey; the United Kingdom and the United States. The two international organizations are: The European Commission and Gulf Cooperation Council.***

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Having considered the progress of the action taken by these countries and territories to remedy their practices, the FATF decided to apply Recommendation 21 of the Forty Recommendations [Note 2] to the above countries and territories. All members of the FATF, including Hong Kong, China, are obliged to adopt these Recommendations to help combat money laundering. Recommendation 21 is:

> "Financial institutions should give special attention to business relations and transactions with persons, including companies and financial institutions, from countries which do not or insufficiently apply these Recommendations. Whenever these transactions have no apparent economic or visible lawful purpose, their background and purpose should, as far as possible, be examined, the findings established in writing, and be available to help supervisors, auditors and law enforcement agencies."

In addition to the "know your client" rule under the Code of Conduct for Persons Registered with the Commission and Guidance Notes on anti-money laundering issued by the Securities and Futures Commission, you should pay special attention to business relations and transactions with persons, companies and financial institutions, from the above countries or territories. Where transactions have no apparent economic or lawful purpose, they should be closely examined and the findings recorded in writing and be available to help supervisors, auditors and law-enforcement agencies.

The FATF will review the NCCT list from time to time and we shall provide any updates.

Yours faithfully

(Signed)
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Note 2 ***The Forty Recommendations were promulgated by the FATF as standards and international best practices in countering money laundering.***